

Many people prefer to invest in a high-growth industry, where there's a lot of sound and fury. Not me. I prefer to invest in a low-growth industry like plastic knives and forks, but only if I can't find a no-growth industry like funerals. That's where the biggest winners are developed.

There's nothing thrilling about a thrilling high-growth industry, except watching the stocks go down. Carpets in the 1950s, electronics in the 1960s, computers in the 1980s, were all exciting high-growth industries, in which numerous major and minor companies unerringly failed to prosper for long. That's because for every single product in a hot industry, there are a thousand MIT graduates trying to figure out how to make it cheaper in Taiwan. As soon as a computer company designs the best word-processor in the world, ten other competitors are spending \$100 million to design a better one, and it will be on the market in eight months. This doesn't happen with bottle caps, coupon-clipping services, oil-drum retrieval, or motel chains.

SCI was helped by the fact that there's almost no growth in the funeral industry. Growth in the burial business in this country limps along at one percent a year, too slow for the action-seekers who've gone into computers. But it's a steady business with as reliable a customer base as you could ever find.

In a no-growth industry, especially one that's boring and upsets people, there's no problem with competition. You don't have to protect your flanks from potential rivals because nobody else is going to be interested. This gives you the leeway to continue to grow, to gain market share, as SCI has done with burials. SCI already owns 5 percent of the nation's funeral homes, and there's nothing stopping them from owning 10 percent or 15 percent. The graduating class of Wharton isn't going to want to challenge SCI, and you can't tell your friends in the investment banking firms that you've decided to specialize in picking up dirty oil from the gas stations.

(9) IT'S GOT A NICHE

I'd much rather own a local rock pit than own Twentieth Century-Fox, because a movie company competes with other movie companies, and the rock pit has a niche. Twentieth Century-Fox understood that when it bought up Pebble Beach, and the rock pit with it.

Certainly, owning a rock pit is safer than owning a jewelry business. If you're in the jewelry business, you're competing with other jewelers from across town, across the state, and even abroad, since vacationers can buy jewelry anywhere and bring it home. But if you've got the only gravel pit in Brooklyn, you've got a virtual monopoly, plus the added protection of the unpopularity of rock pits.

The insiders call this the "aggregate" business, but even the exalted name